Marketing in a Digital Era

Session 1

Dr. Anshu Suri



Session 1: Agenda

- Some administrative essentials
  - Evaluations

- What are we learning today?
  - What is Marketing?
  - Evolution of Marketing
  - Marketing plan components
  - Marketing's contribution to Business
    - Strategy vs. tactics
  - Microenvironment analysis
  - Microenvironment analysis

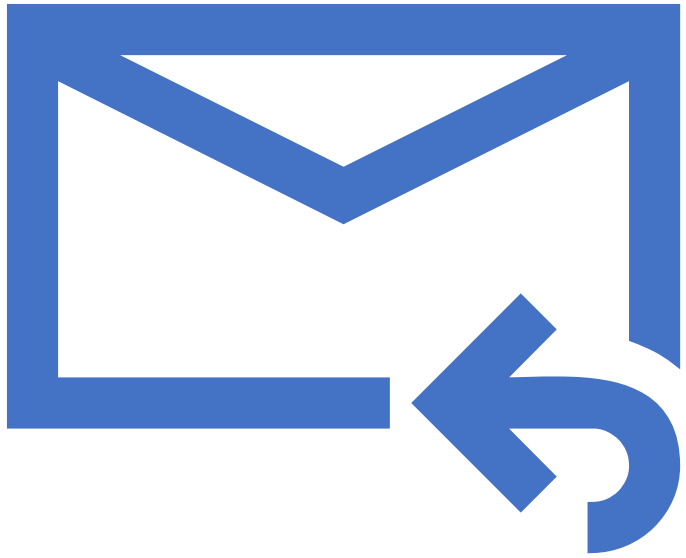
About Me

Education:

- PhD (HEC Montreal, Canada)
- MBA (SUNY Buffalo, USA)
- Master of Marketing (University of Mumbai, India)
- Bachelor of Engineering (University of Mumbai, India)

Research Interests:

- Service & product failures
- Sharing economy
- AI & technology



How can you reach me?

- Email: anshu.suri@ucd.ie
  - Please add the module # + a brief description of the content in the subject of your email
- Individual/Group Zoom Meetings can be arranged as needed

Course Evaluations

How Will You be Evaluated?



Group Project (40%)

Due 18th Oct 2026



Final Exam (60%)

On 1st Nov 2026



Group Project

- Groups of 4 to 5 (max) students
- Develop a marketing plan for a product/brand in the AI & Smart Technologies sector

Guidelines for Group Project

- An executive summary
- A table of contents
- A summary of the current situation (this contains all relevant data, including SWOT analysis)
- A focused assessment of the market opportunity. This includes a statement of the target market segments, a customer and needs assessment. And the competitive challenges faced;
- Financial and marketing goals
- A summary of the marketing strategy
- A marketing budget (for example, budget for each month)
- Sales and revenues forecast
- A plan for monitoring and evaluating action plans in progress and at the end of the plan period





Today’s Course Content







WHAT IS MARKETING?



True or False: Marketing = Sales

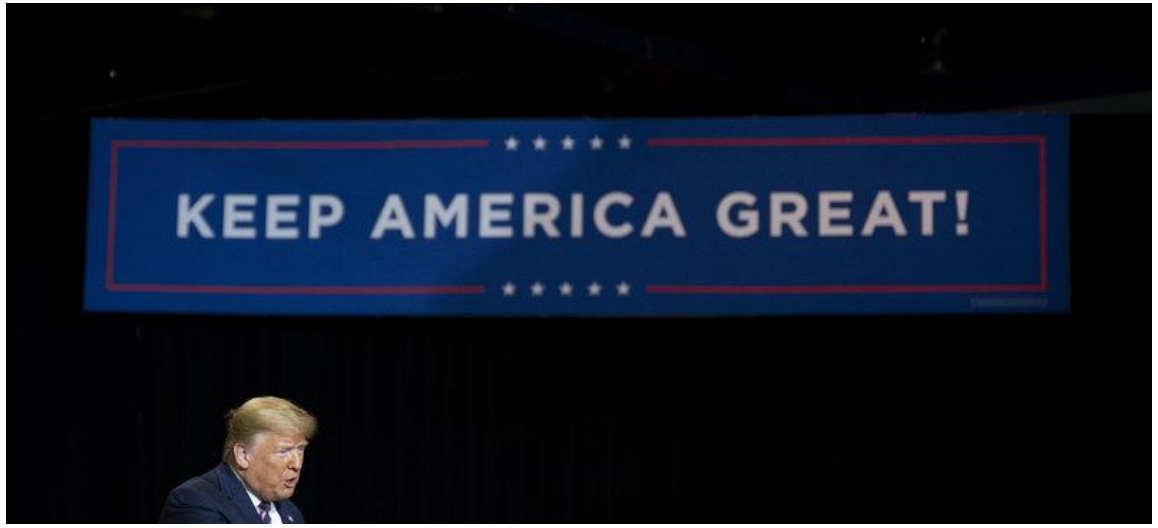


True or False: Marketing =Advertising

THIS IS MARKETING…









AND THIS IS MARKETING…

AND THIS IS MARKETING…



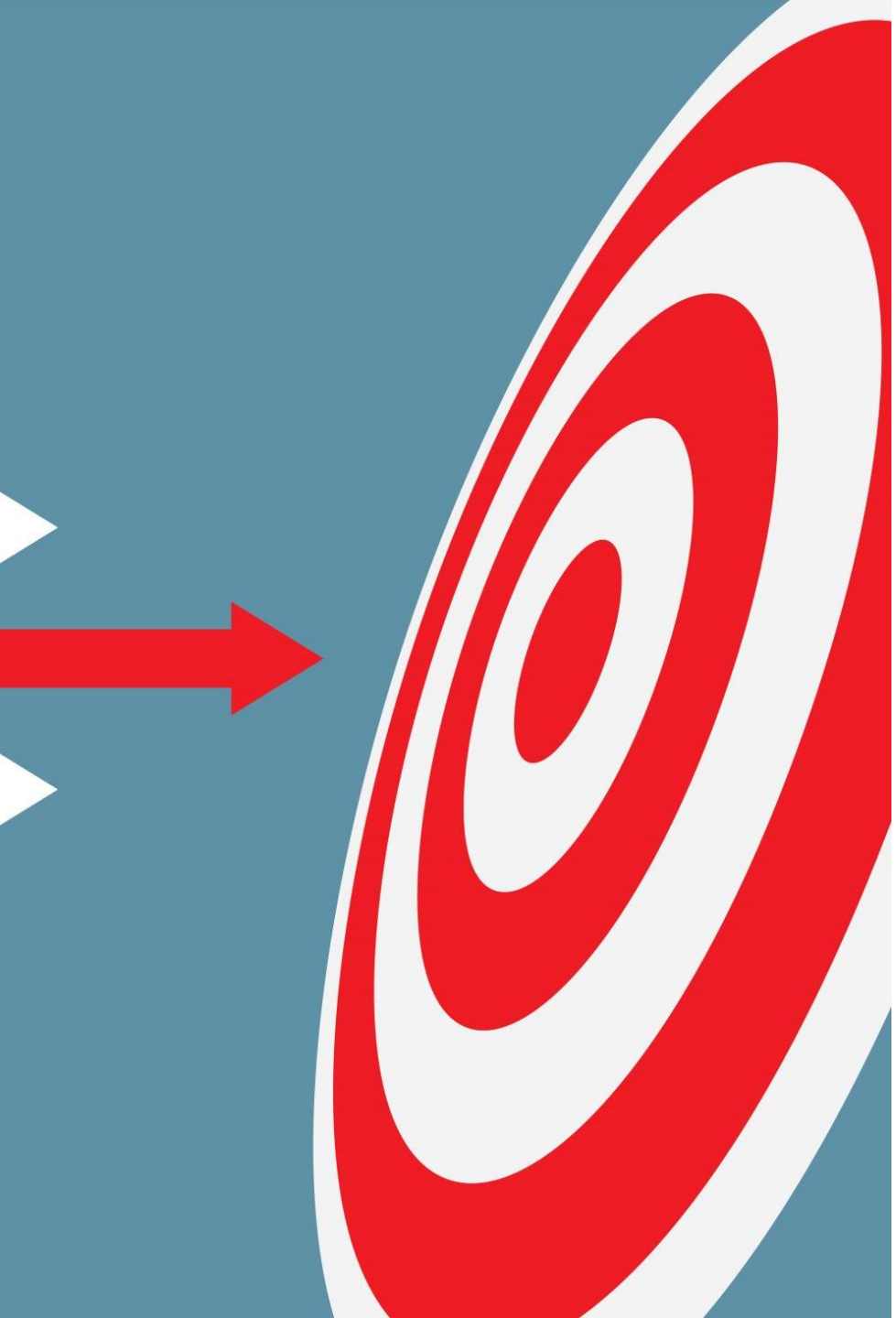
So, Marketing Is….

- Identifying and meeting human and social needs

- Marketing is *the activity, set of institutions, and processes for creating, communicating, delivering, and exchanging offerings that have value for customers, clients, partners, and society at large* (American Marketing Association)

- Important keyword here: ***value***

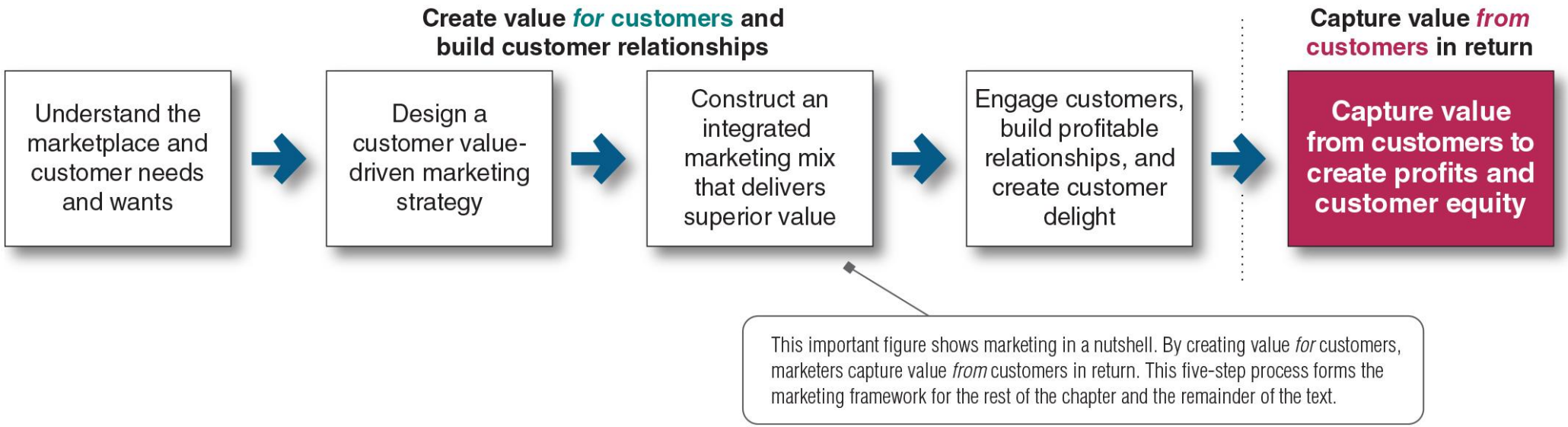
The aim of marketing is to know and understand the customer so well that the product or service fits him and sells itself (Peter Drucker)



Customer Value Should Take Into Account

- The needs of the target customers
- The benefits and costs associated with the company's offering
- The benefits and costs associated with the competitive offerings

Marketing Process



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What Can be Marketed?!

- Goods
- Services
- Events
- Experiences
- Persons
- Ideas











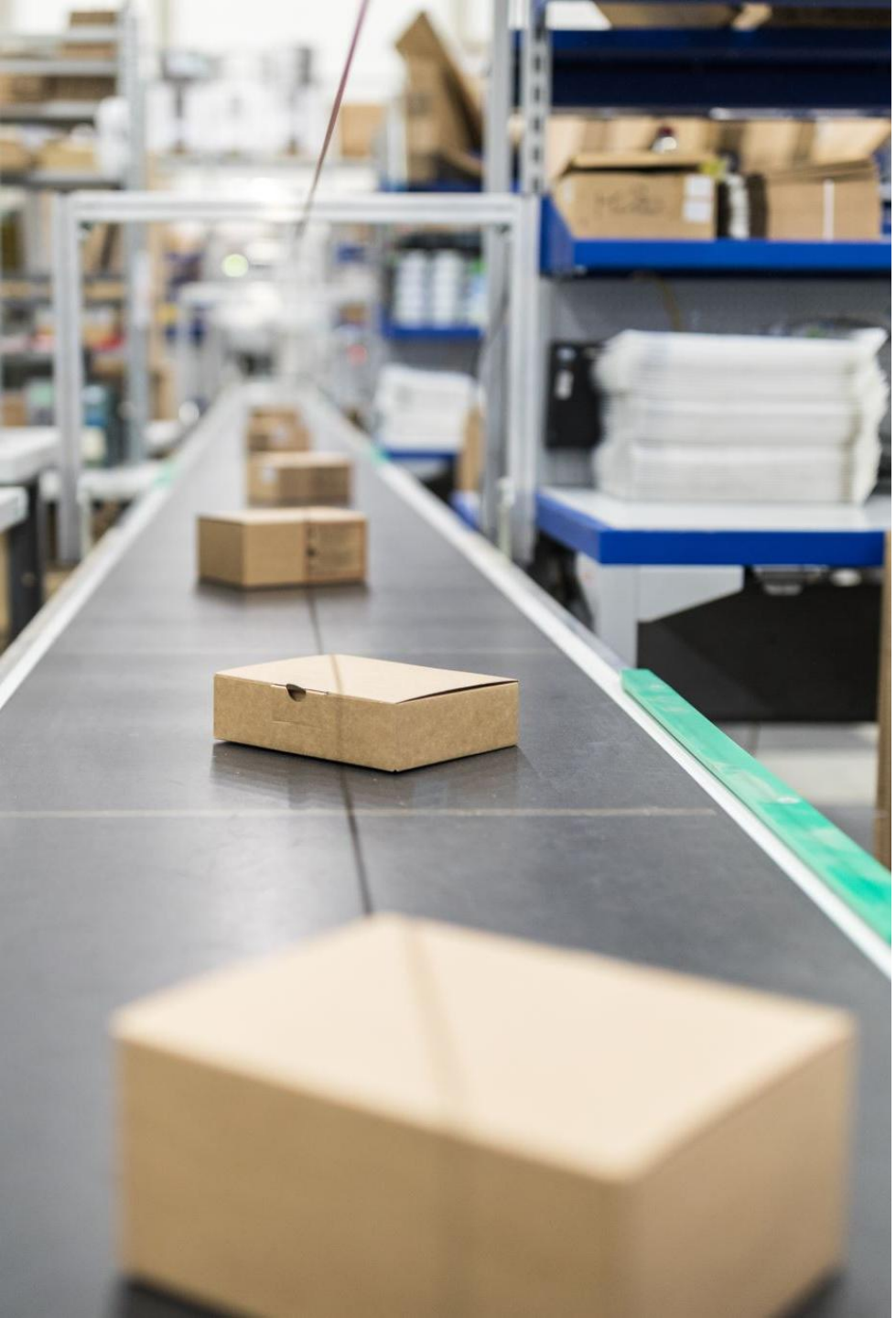
What Can be Marketed?!

- Places
- Properties
- Organizations
- Information





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smarter money



Why Does Marketing Matter?

- Identify appropriate consumers
- Discover what products, services or ideas these consumers want
- Report back to the production division on what it needs to produce, and in what quantity, format, etc.
- ***Try*** to sell them the product designed by the firm

Needs vs. Wants

Needs: Basic human requirements; State of lacking something

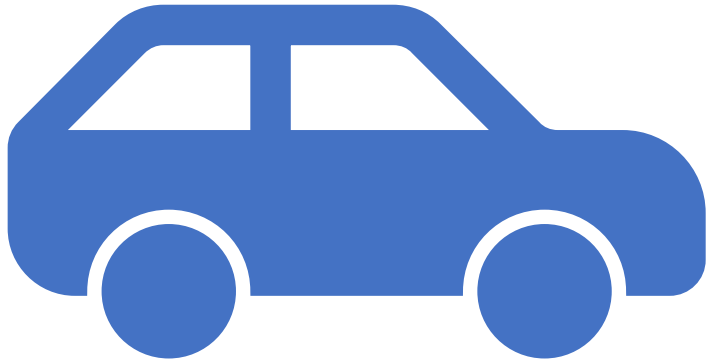
Needs become ***wants*** when directed to specific objects that might satisfy the need

Marketers can't create needs, but they can help shape wants

Demand: want + the ability to pay

Needs vs. Wants vs. Demand

- Need: I need to travel from point A to point B
- Want: I want a Mercedes
- Demand: Can I afford a Mercedes?



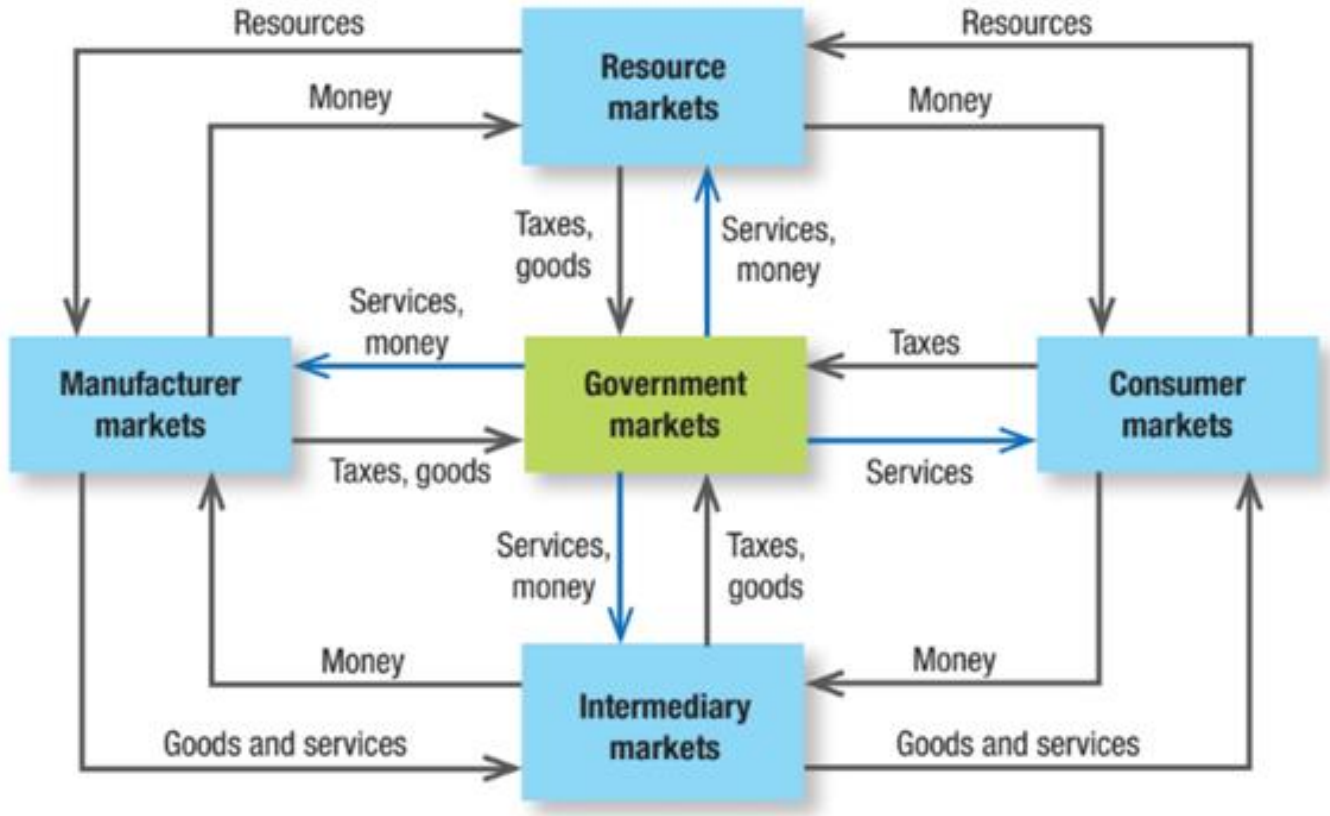


What is a Market?

- Customer Groups

OR

- A set of consumers, individuals or businesses that express wants and needs by buying products, services or ideas



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Remember,
Market = Actual + Potential Buyers

Market offerings

- Some combination of products, services, information, or experiences offered to a market to satisfy a need or want

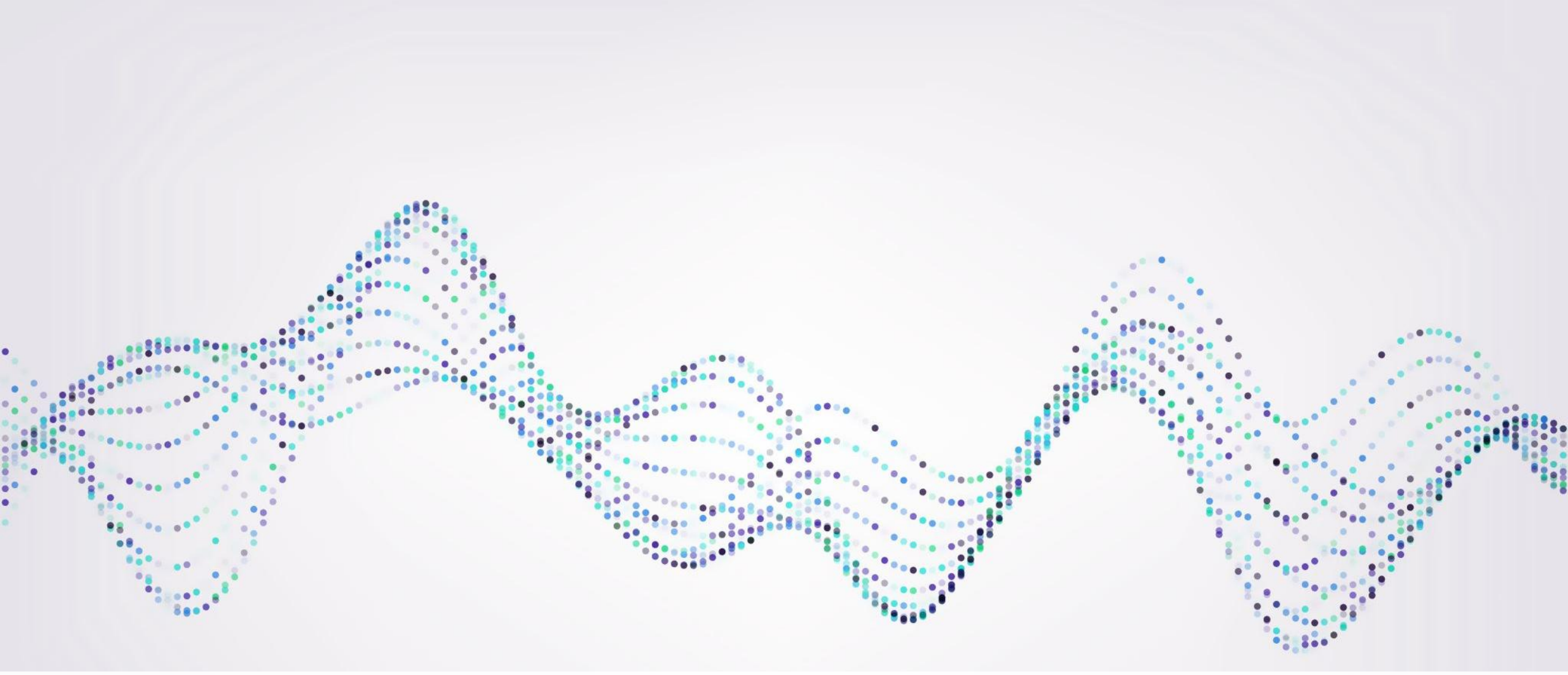
Value proposition

- Set of benefits or values it promises to deliver to customers to satisfy their needs
- "Why should I buy your brand rather than a competitor's?"

Compare the Value Proposition







Evolution of Marketing Philosophies

Production Concept

- Originated during Industrial Revolution
- Focuses on production efficiency & cost reduction
- Standardization of processes
- Effective when companies want to reduce cost or when demand is greater than supply

- E.g. Automobile companies

Product Concept

- Focuses on designing the best product
- Assumes consumer is rational & well-informed; hence consumers will always buy a good product at a reasonable price
- But is this true?

What is a Brand That Comes to Your Mind for Product Concept?



Selling Concept

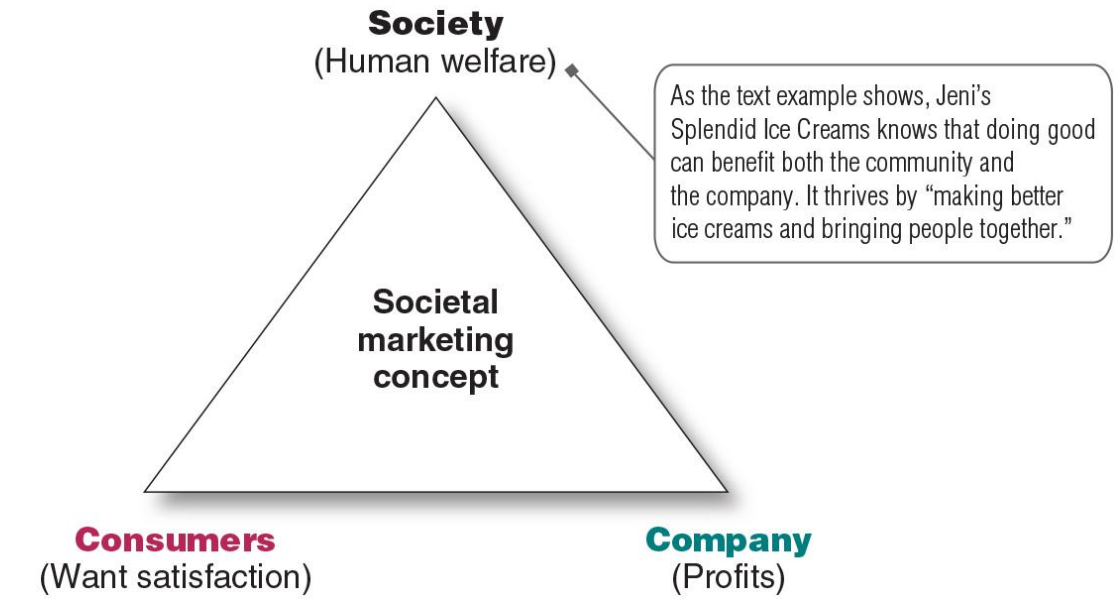
- “Hard sell”
- Assumes all you need is a good sales and communication strategy to sell a product
- Can you have recurring business based on this strategy?
- E.g., Insurance agents

Marketing Concept

- Satisfy consumers' needs/wants but keep the company's goals in mind
- Buyer's market with an abundance of products/services available

Societal Marketing

- Companies should consider consumers' wants, the company's requirements, consumers' long-run interests, and society's long-run interests



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The Changing Marketing Landscape

- Digital Age & empowered consumers
- Rapid Globalization
  - Think of brands such as McDonalds, Dior, EY, etc.
- Growth of Not-for-Profit Marketing
  - E.g., Make-a-wish foundation
- Sustainable Marketing: Corporate ethics and social responsibility have become important for every business



Some Important Concepts

Demand

The quantity of a good or service that economic agents buy in a given market.

- Volume (quantity unit)
- Value (value unit)
- Actual demand vs. Potential demand



Market Share

A company's market share is the company's share of demand

$$\text{Market share} = \frac{\text{Company demand}}{\text{Market demand}}$$

$$\text{Market share} = \frac{\text{Company sales volume (or revenue)}}{\text{Market demand volume (or revenue)}}$$

Exercise

- A toy manufacturer (Company X) in the US had a total revenue of $20 million, whereas the US toy manufacturing industry had a total revenue of $200 million in 2019. What is X's market share?

A. 20%
B. 25%
C. 10%
D. 50%

Some New(ish) Metrics for Marketing

- **Customer lifetime value:** value of the entire stream of purchases that the customer would make over a lifetime of patronage

- **Share of customer:** portion of the customer's purchasing that a company gets in its product categories

- **Customer equity:** total combined customer lifetime values of all of the company's customers



Exercise

- What is the customer lifetime value of someone who spends an average of $125 week and will be a good customer for 15 years?

- A) $82,200
- B) $19,500
- C) $97,500
- D) $6,500
- E) $12,500

Exercise

I have the following 5 customers for my brand:

1. A: Spends $15/week on my brand. I estimate that A will be my brand's customer for the next 10 years.
2. B: Spends $5/week on my brand. I estimate that A will be my brand's customer for the next 1 year.
3. C: Spends $25/week on my brand. I estimate that A will be my brand's customer for the next 5 years.
4. A: Spends $35/week on my brand. I estimate that A will be my brand's customer for the next 20 years.
5. A: Spends $15/week on my brand. I estimate that A will be my brand's customer for the next 5 years.

What is my Customer Equity?

Exercise

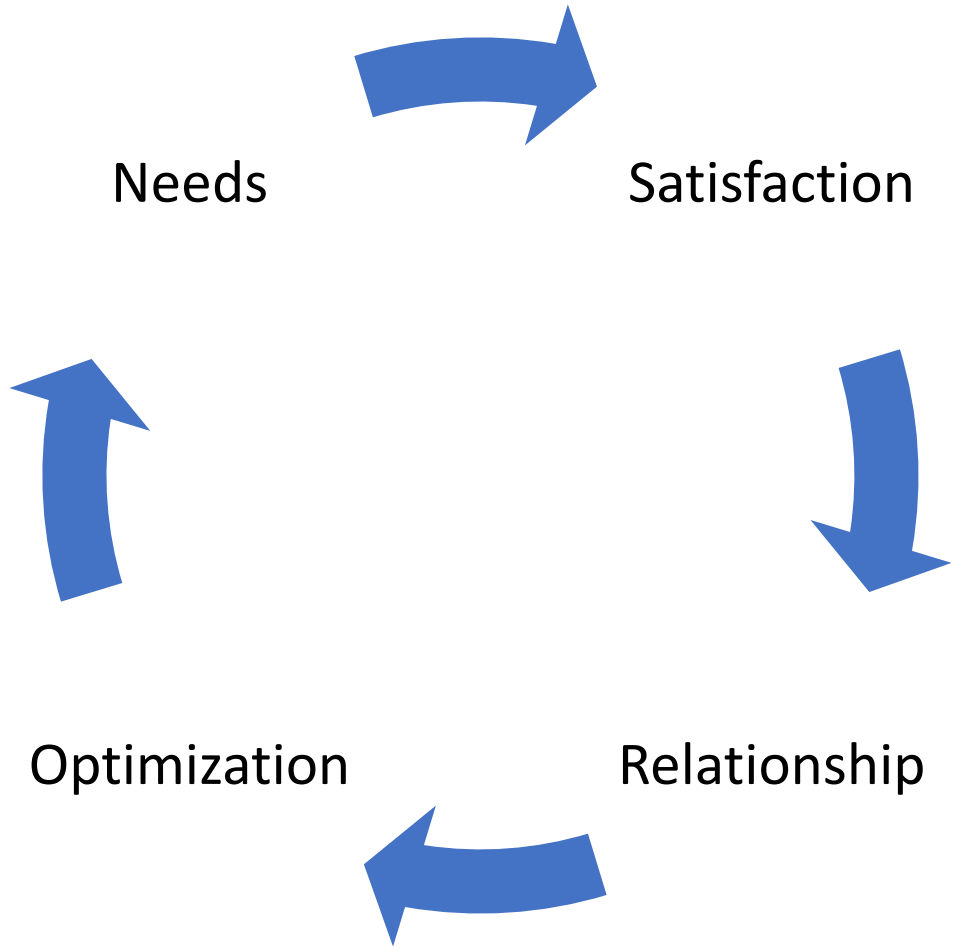
- Thomas spends $400 on clothes (each year) and $600 on groceries each year. I own a brand called Armera, which specializes in clothing. From customer records, I notice that Thomas spends $100 on my brand each year. What is my brand's share of wallet with respect to Thomas?

A. 50%
B. 25%
C. 10%
D. 45%

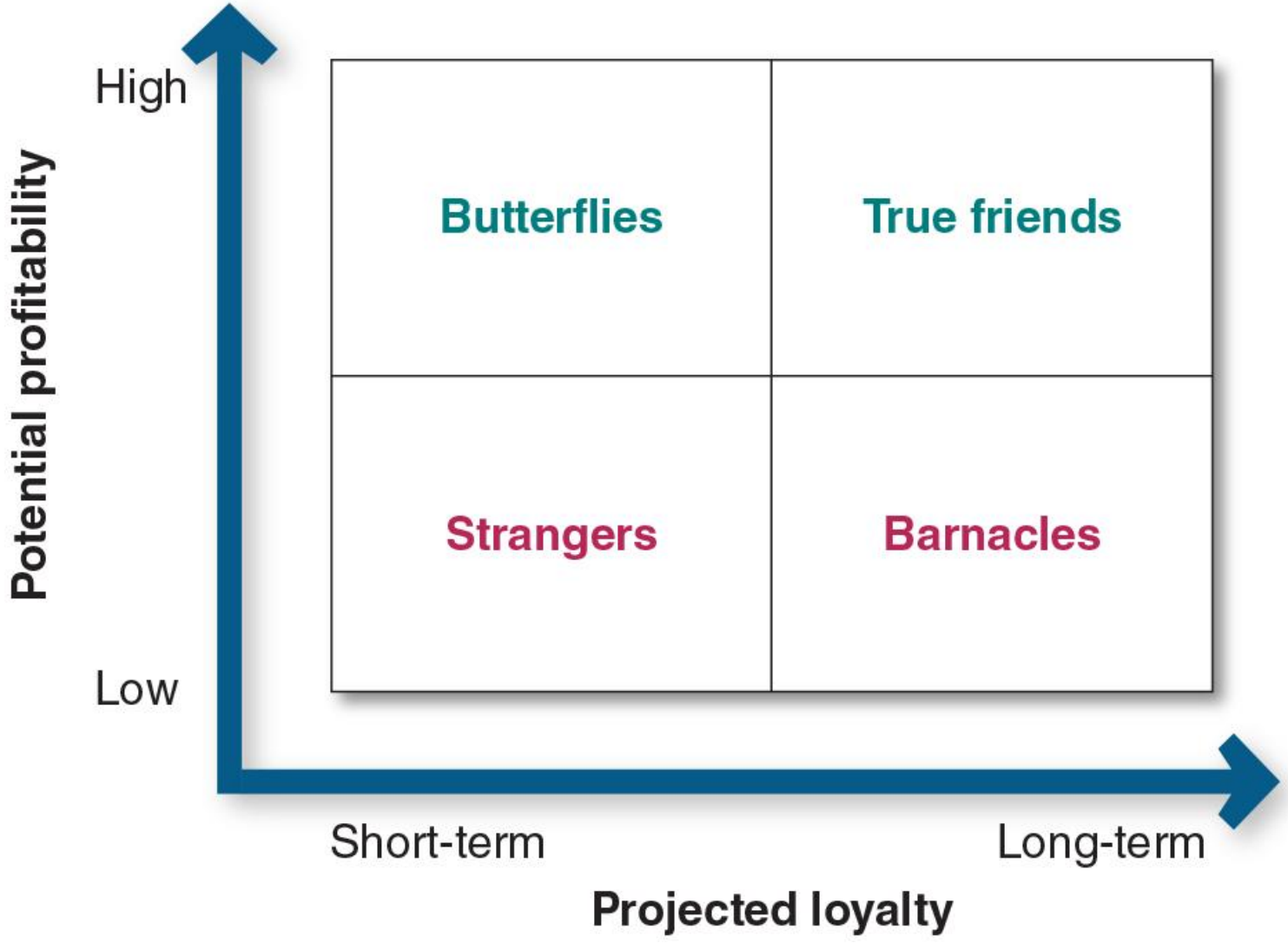
"Exchange"

The goal of marketing is to ***optimize*** the relationship of exchange between the business and the customer and to maximize their ***satisfaction***.

- Usually concluded by a transaction
- Basics of customer relationship and customer service

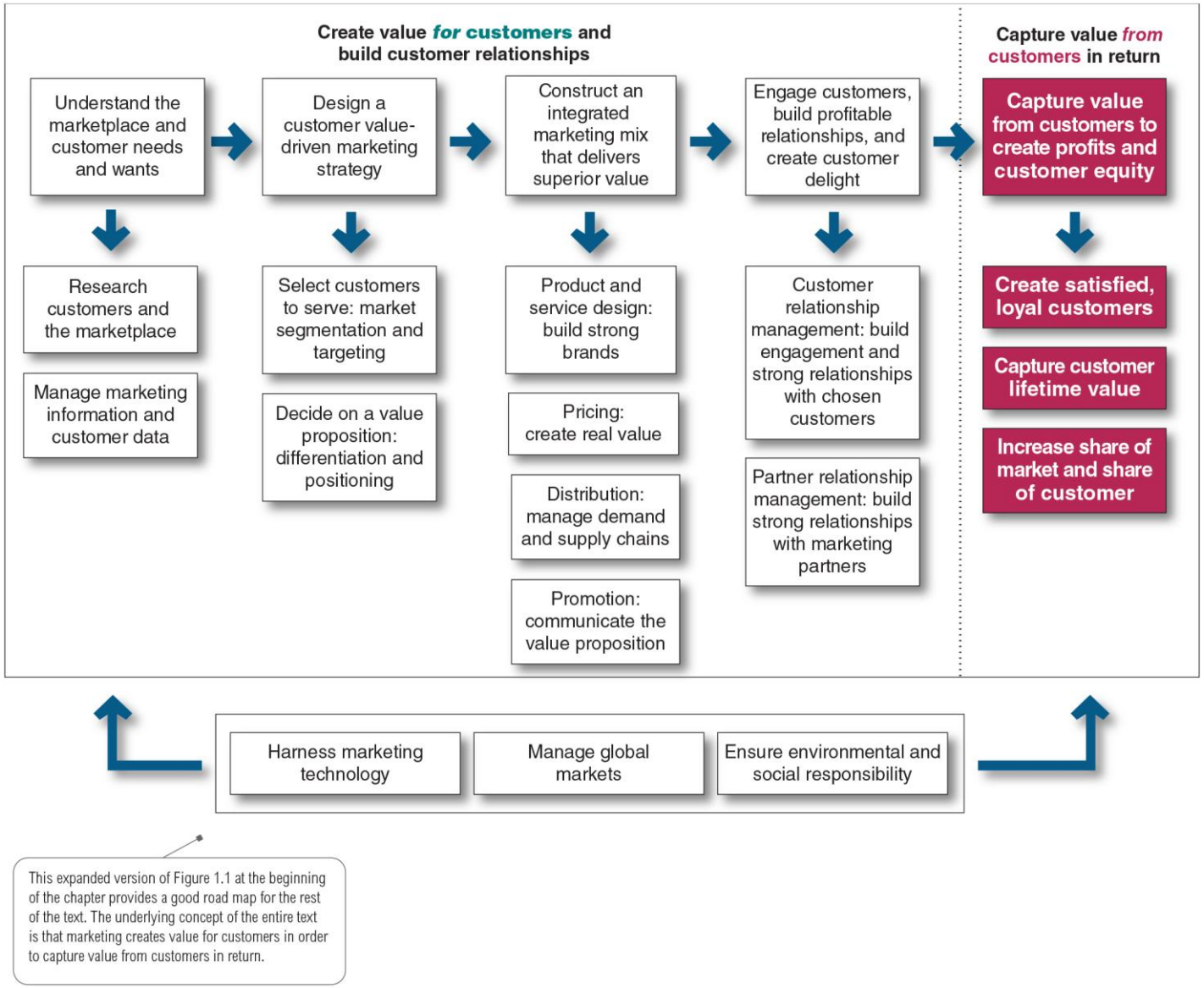


Managing Customer Relationships and Capturing Customer Value



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Overall, Marketing IS…..



This expanded version of Figure 1.1 at the beginning of the chapter provides a good road map for the rest of the text. The underlying concept of the entire text is that marketing creates value for customers in order to capture value from customers in return.

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Break



Marketing's Contribution to Business

- Marketing Contributes to company's:
  - Growth
  - Sales
  - Profitability
  - Goals

- Must be aligned with company's mission and goals

- Company's mission: organization's purpose; what it wants to accomplish in the larger environment.

- Marketing planning is a part of business strategy



Marketing's Contribution to Business

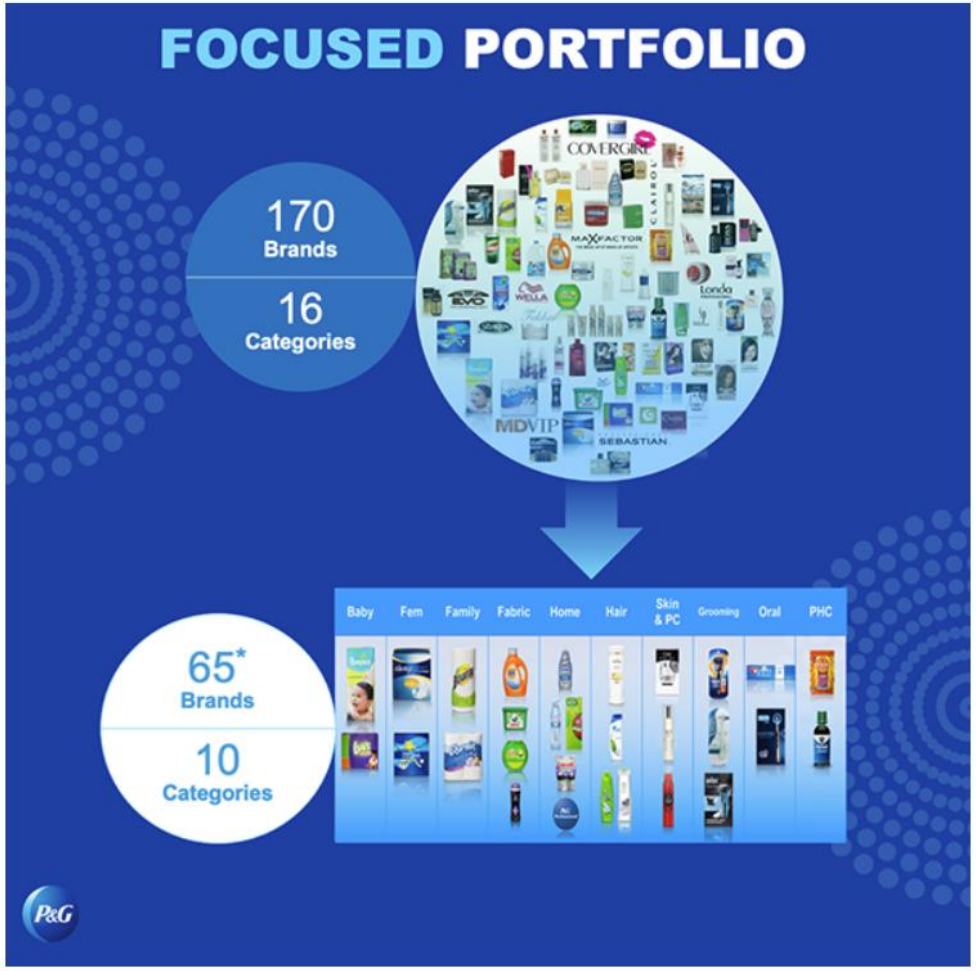
- Marketing Goals Trickle Down from the company goals



BCG Growth-share Matrix for Analysing the Business

The business portfolio: collection of businesses and products that make up the company.

Portfolio analysis is a major activity in strategic planning whereby management evaluates the products and businesses that make up the company.



Starbucks' New Mission, 2026

Our Mission

To be the premier purveyor of the finest coffee in the world, inspiring and nurturing the human spirit — one person, one cup and one neighborhood at a time.



Marketing Strategic Planning

- Process of developing and maintaining a strategic fit between the organization’s goals and capabilities, and its changing marketing opportunities



Setting a Goal

- The goal/objective that the company aims to achieve via the marketing plan
- Quantitative benchmarks: the specific milestones to be achieved as the company moves toward its ultimate goal
- *Temporal benchmarks:* the time frame for achieving the specific benchmark
- Generally, a goal should be SMART

S = Specific

M = Measurable

A = Achievable

R = Relevant

T = Time-Bound

An Example of a SMART Goal

- Brand A wants to capture 10% of the market share in the next 2 years.

Question: Why is this a SMART Goal?

Marketing Strategy

- A strategy is usually ***long-term oriented***
- Follows an ***overall vision*** of the means used to ***achieve a final objective***
- Involves
  - Choosing a well-defined market in which the company will compete and
  - Determines the value it intends to create in this market
- E.g., We will achieve our objective (of increasing market share) by offering lower cost products to the market



Tactics

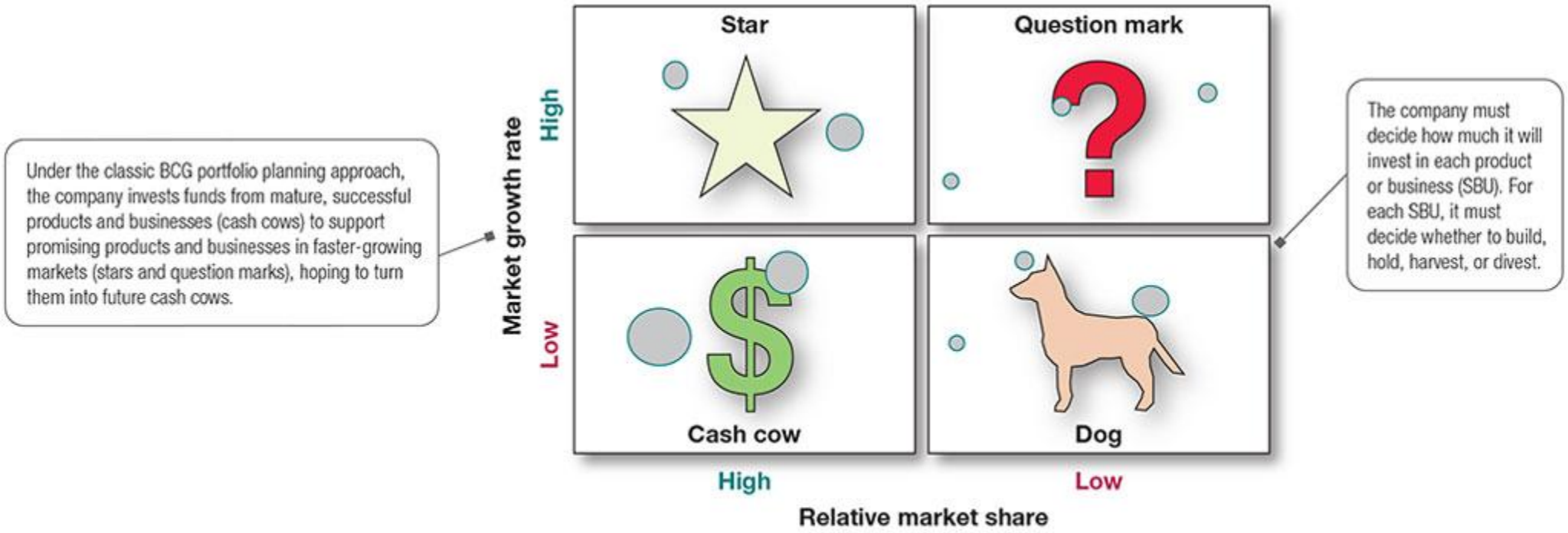
- Also called the marketing mix
- Make the company's strategy come alive
- Define the key aspects of the offering developed to create value in a given market
- Define the *attributes of the market offering*



Tactics: 4 Ps of Marketing



BCG Growth-share Matrix for Analysing the Business



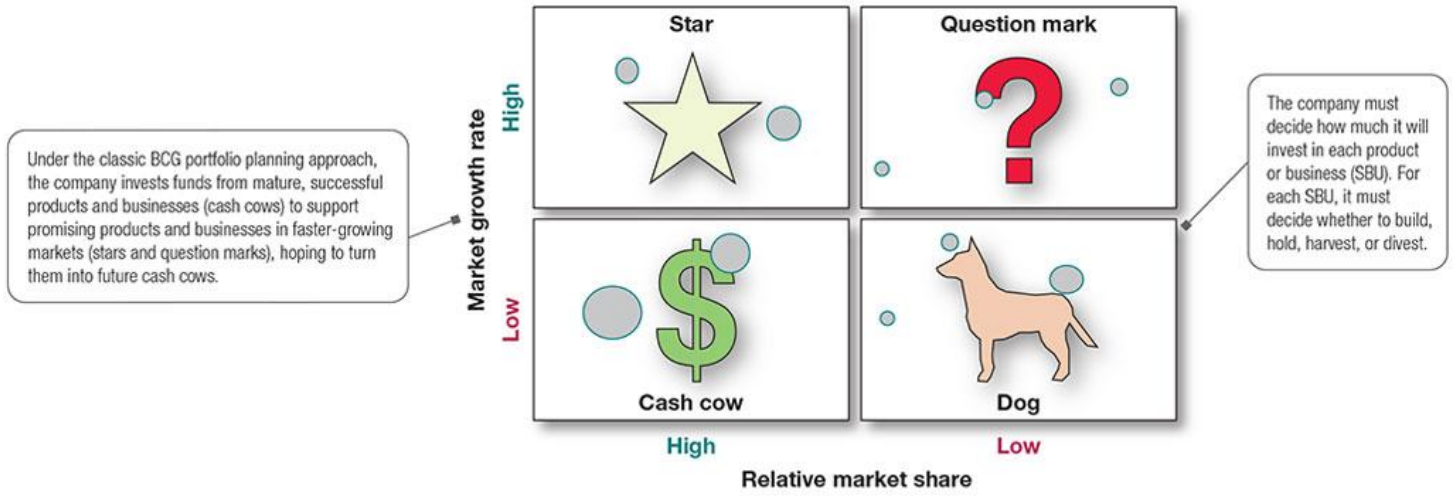
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BCG Growth-share Matrix for Analysing the Business

- Purpose: To evaluate the strategic position of a business' brand portfolio

- Depending on where your products/brands sit on the graph in this analysis, you can determine which products/brands should you invest in/divest

- Relative market share: Divide the total sales of your product with the sales of the highest competitor

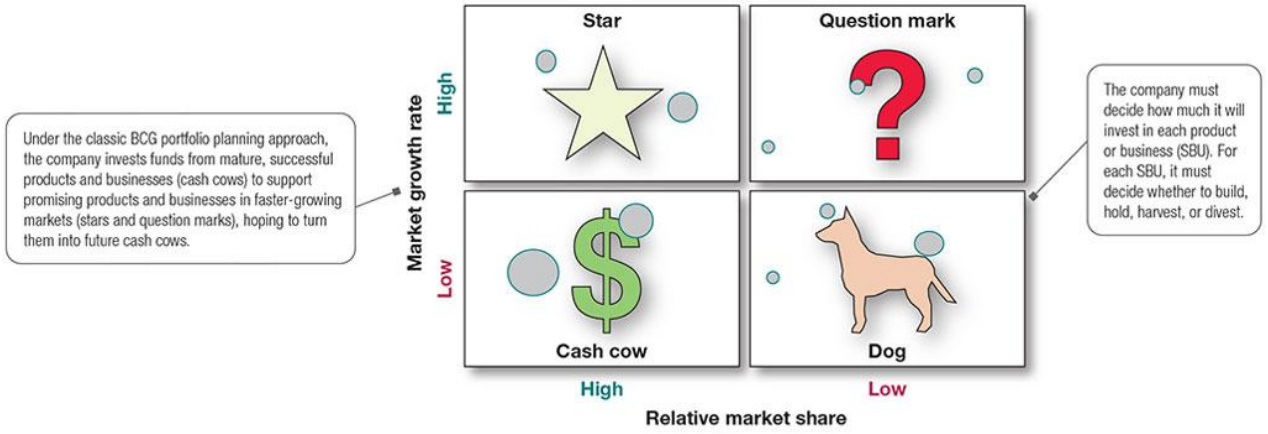


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BCG Growth-share Matrix for Analysing the Business

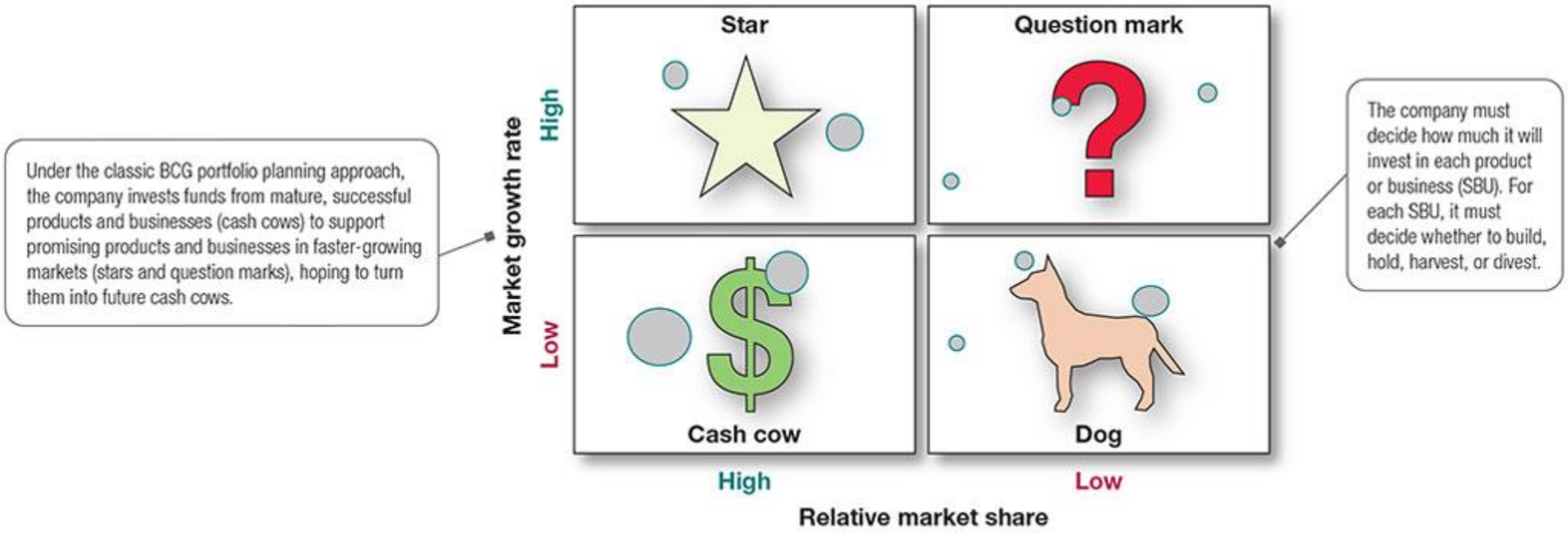
- Identify the key businesses that make up the company, called strategic business units (SBUs)

- SBU can be a company division, a product line within a division or a single product/brand



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BCG Growth-share Matrix for Analysing the Business

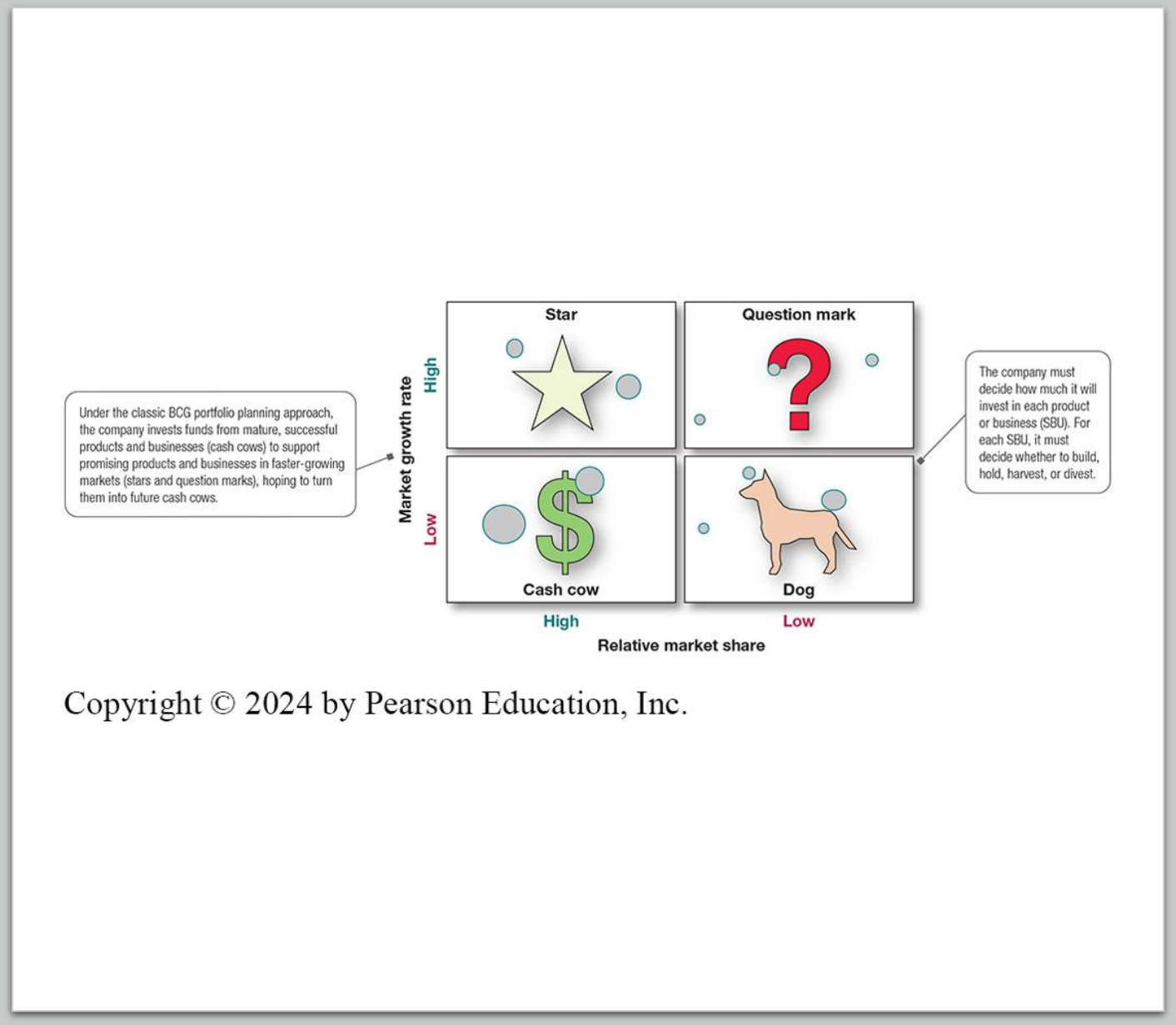


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BCG Growth-share Matrix for Analysing the Business

- Identify the key businesses that make up the company, called strategic business units (SBUs)

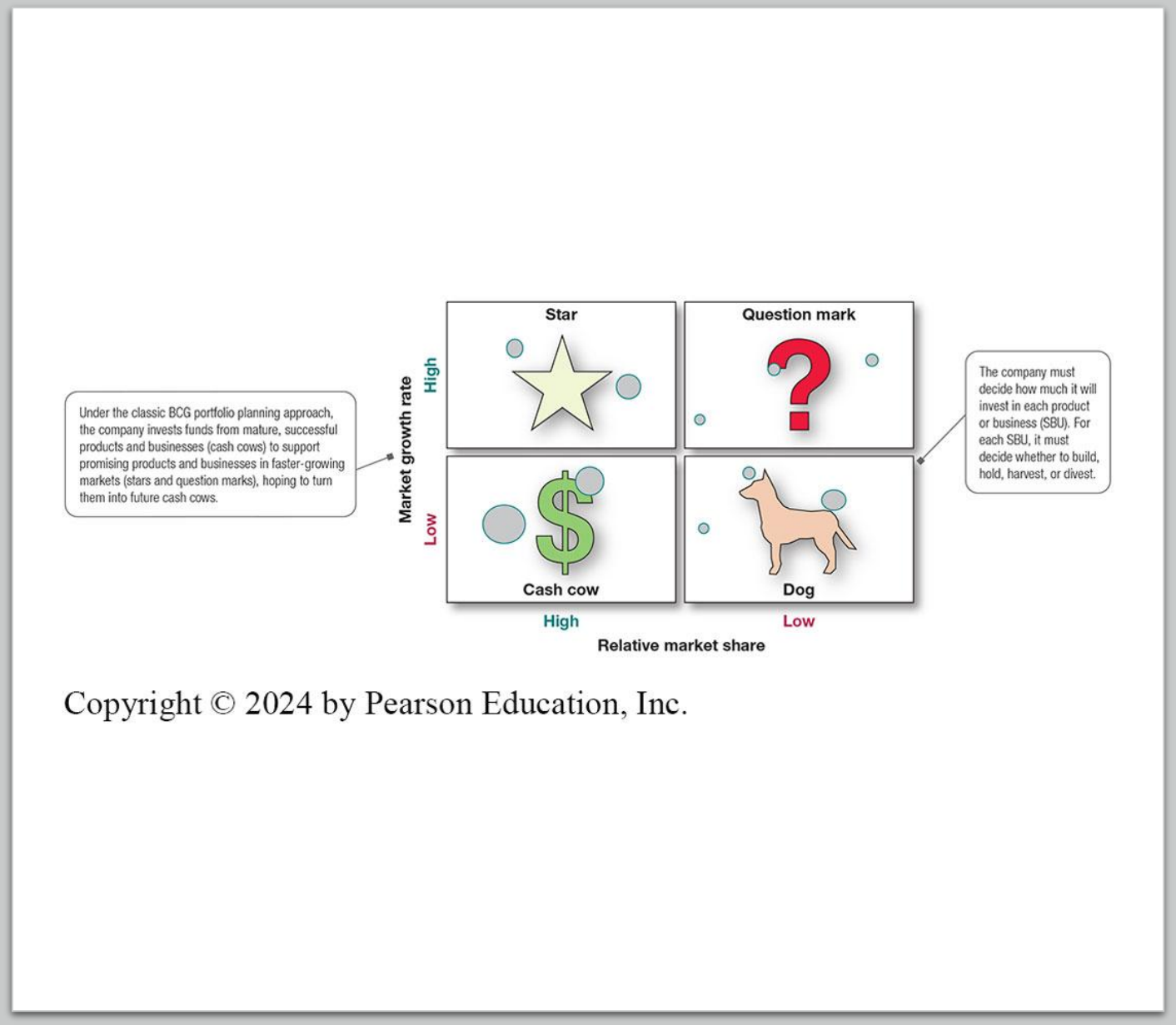
- SBU can be a company division, a product line within a division or a single product/brand



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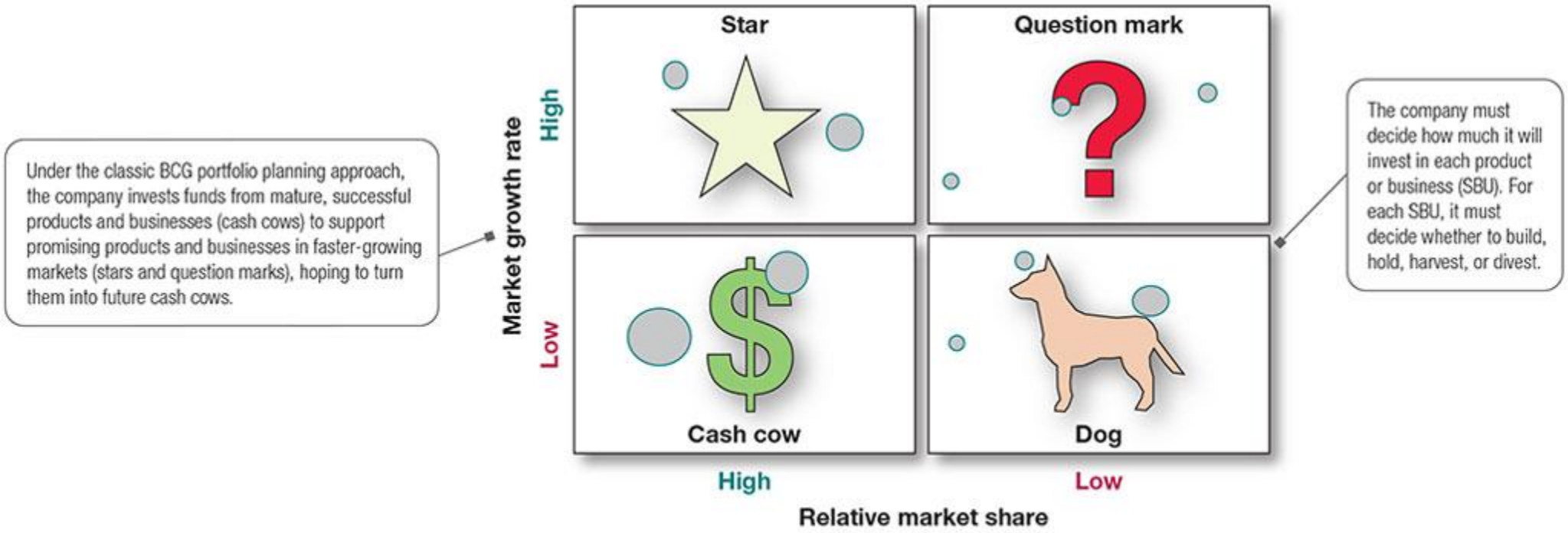
BCG Growth-share Matrix for Analysing the Business

- The company can:
- Build: Invest more in the SBU to build its share
- Hold: Invest just enough to maintain the current market share
- Harvest: Milk the cash flow
- Divest: Sell/phase out the SBU



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BCG Growth-share Matrix for Analysing the Business



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Exercise: Apple Case Study

Products:

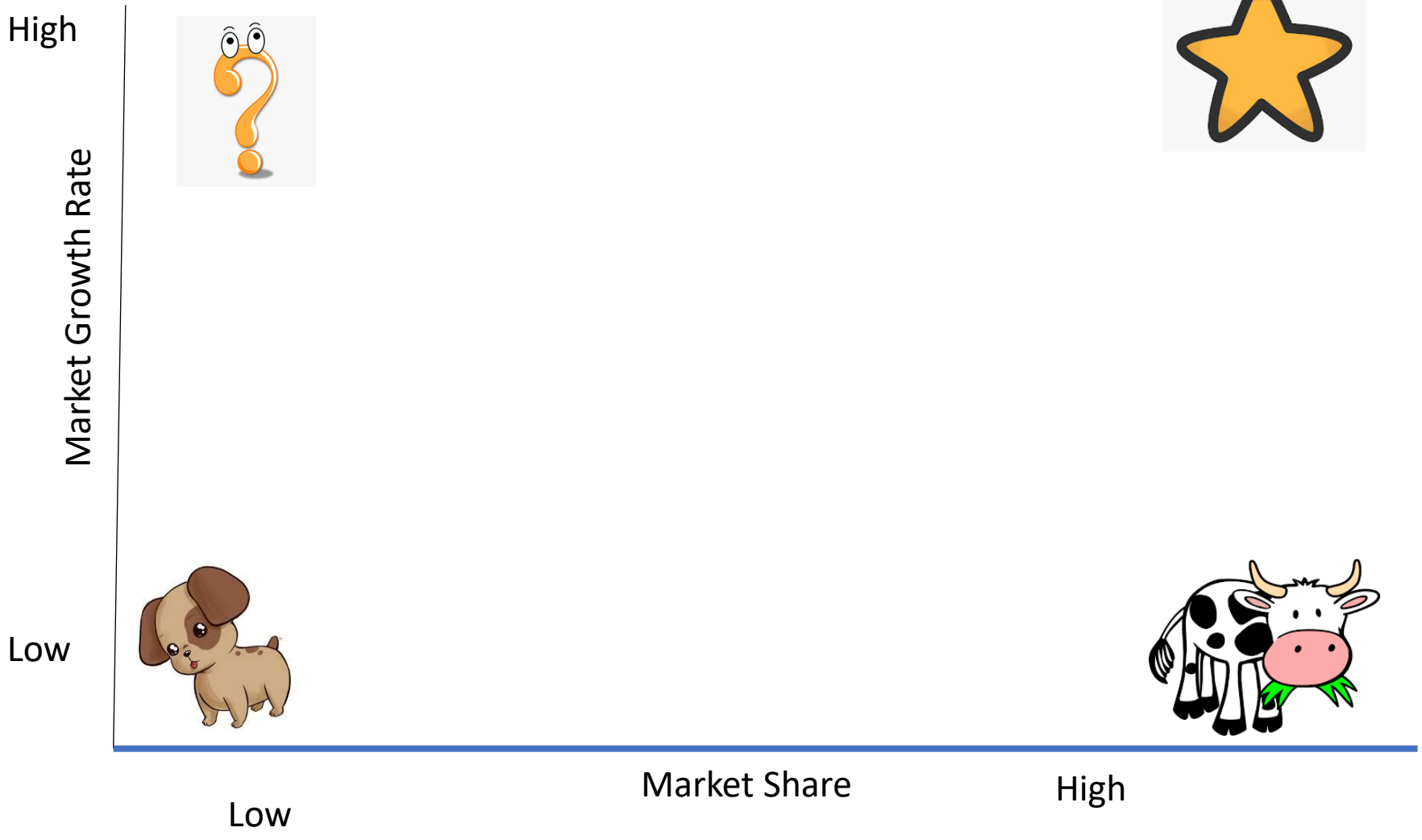
Ipad

Apple Music

Apple Watch

Iphone

Macbook



Product/Market Expansion Grid



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Product/Market Expansion Grid

- Market Penetration: Increasing sales of current products to current market
- Market Development: Identifying & developing new markets for current products
  - Note: market here refers to market segments



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Product/Market Expansion Grid

- Product Development: Offering modified or new products to current markets
- Diversification: Starting up or buying businesses beyond its current products or markets



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What Else Should a Company Consider?



At its core, marketing is all about creating customer value and profitable customer relationships.

Marketing strategy involves two key questions: Which customers will we serve (segmentation and targeting)? and How will we create value for them (differentiation and positioning)? Then the company designs a marketing mix—the four Ps—that delivers the intended value to targeted consumers.



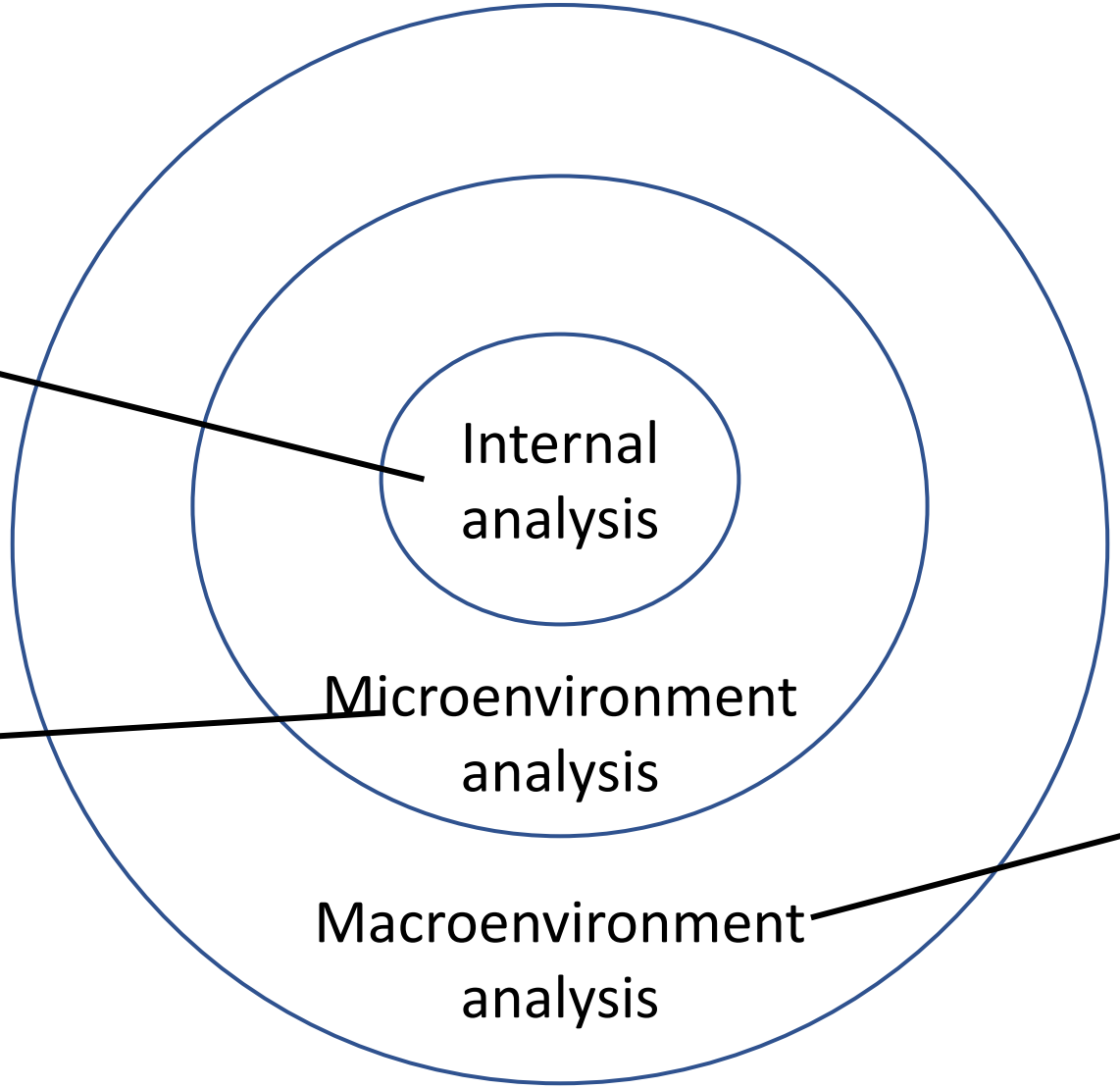
Marketing Environment

- Actors and forces outside marketing that affect marketing management's ability to build and maintain successful relationships with target customers.

Situation Analysis

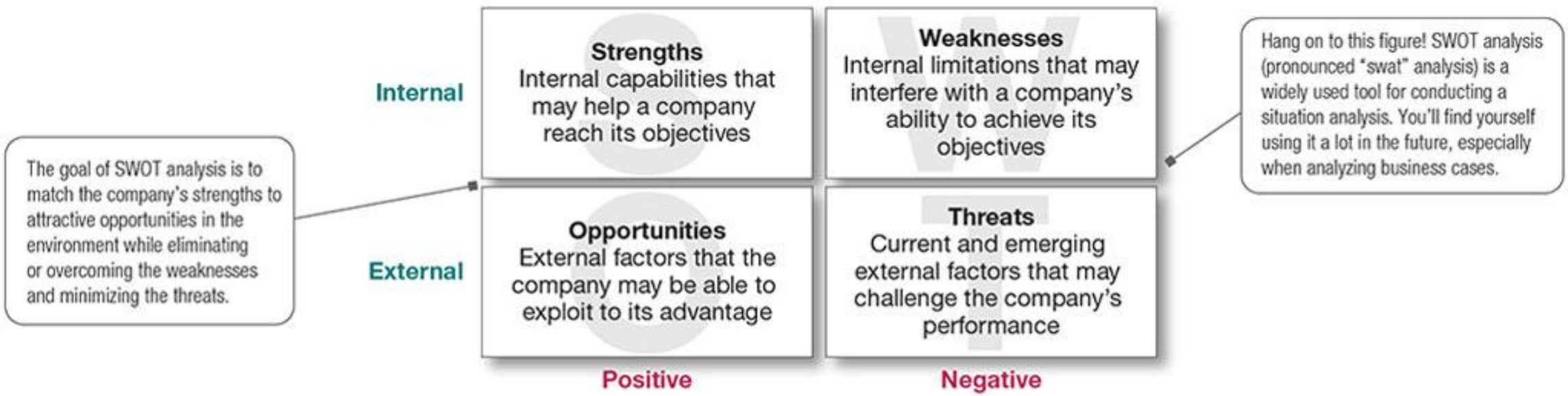
Identify strengths & weaknesses

Identify opportunities & threats



Identify opportunities & threats

SWOT Analysis

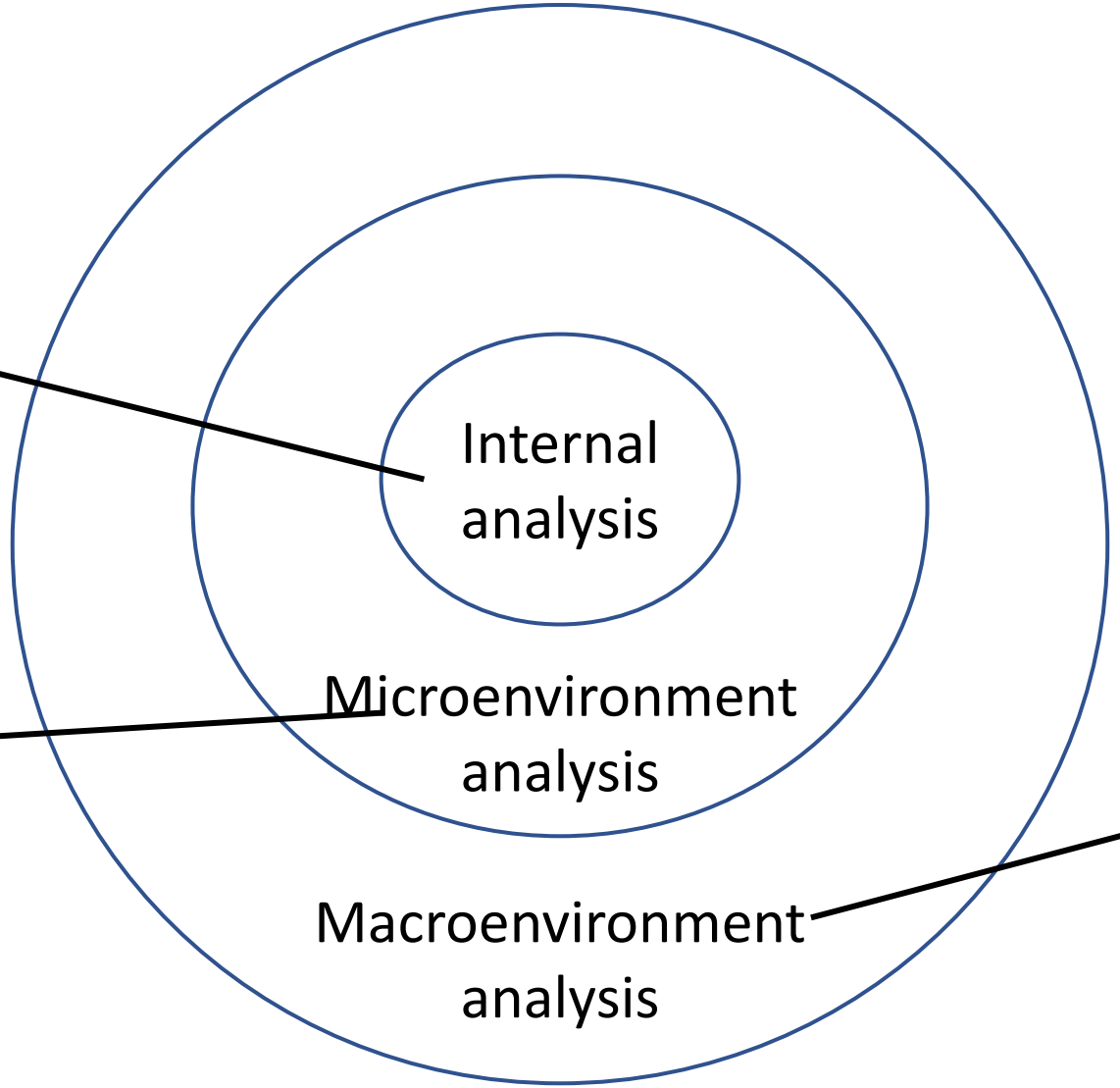


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Situation Analysis

Identify strengths & weaknesses

Identify opportunities & threats



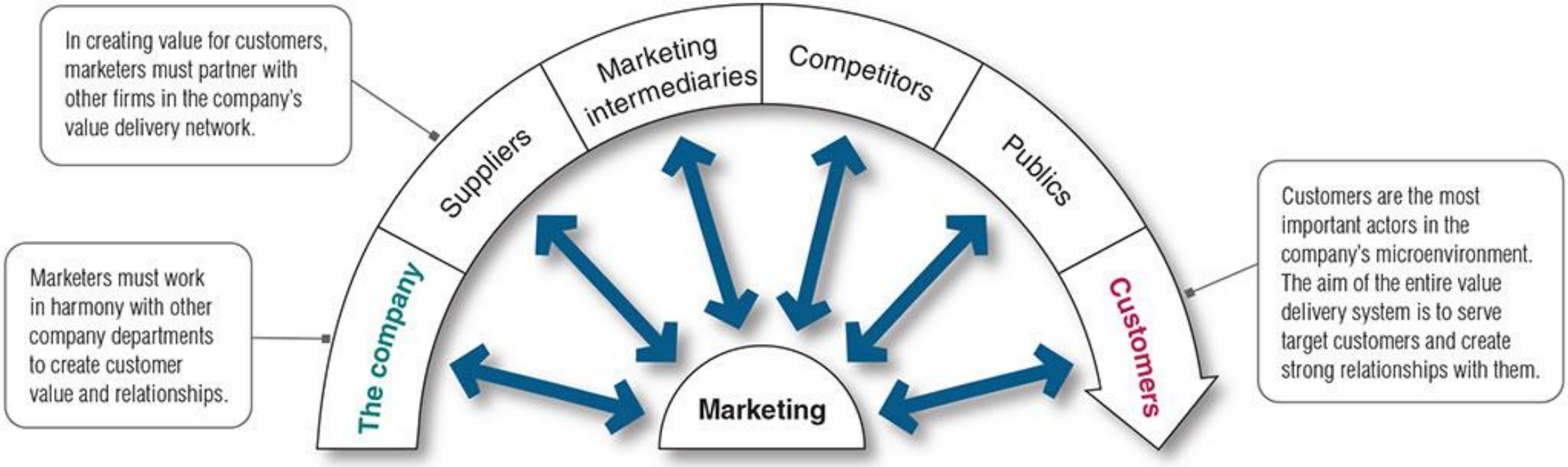
Identify opportunities & threats



Microenvironment

Actors close to the company that affect its ability to serve its customers

Microenvironment



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Microenvironment: Publics

- Any group that has an actual or potential interest in or impact on an organization's ability to achieve its objectives

- Financial publics: Banks, investment analysts, stockholders
- Media publics
- Government publics
- Citizen-action publics: consumer organizations, environment groups, minority groups, etc.
- Local publics
- General publics
- Internal publics: employees, volunteers, management

Framework for Microenvironment Analysis: Porter's Five Forces Model





Porter's Five Forces Model

Competitors: The intensity of the rivalry depends on:

- Growth rate of the industry
- Number of competitors in the industry
- Level of product differentiation and transfer costs

New Entrants: Determined by the potential growth of an industry, and the barriers to entry

- Economies of scale
- Differentiation
- Capital requirements
- Advantages linked to costs
- Government policies
- Access to distribution



Porter's Five Forces Model

Customers: The *bargaining power* of customers

- Numbers of customers
- Product differentiation
- Price sensibility
- Purchase volume
- Availability of substitute product
- Availability of information

Suppliers: The intensity of a firm's dependence on its suppliers has a direct impact on the sharing of power

- Number of suppliers
- Level of product differentiation
- Presence of substitutes

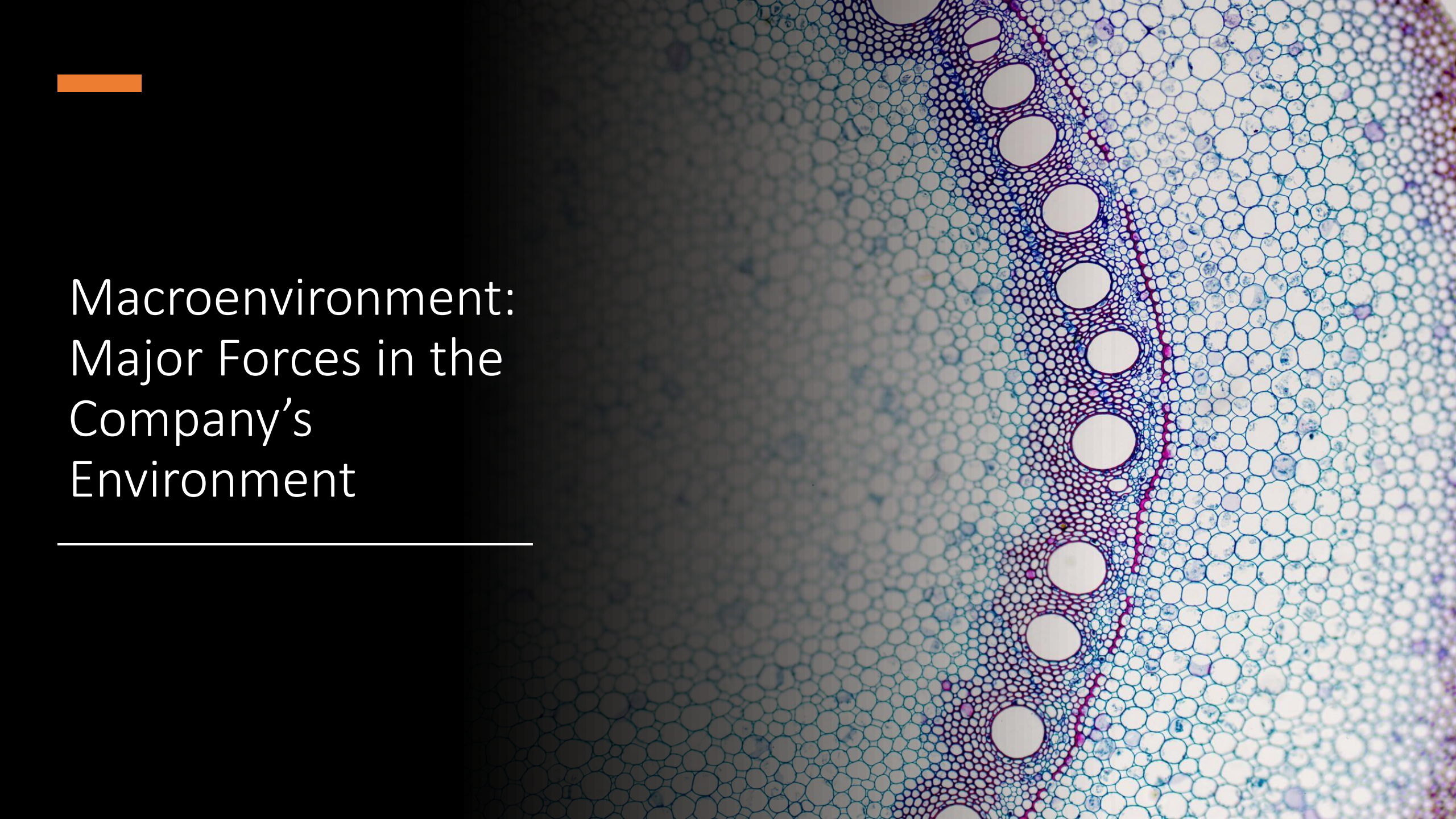


Substitutes

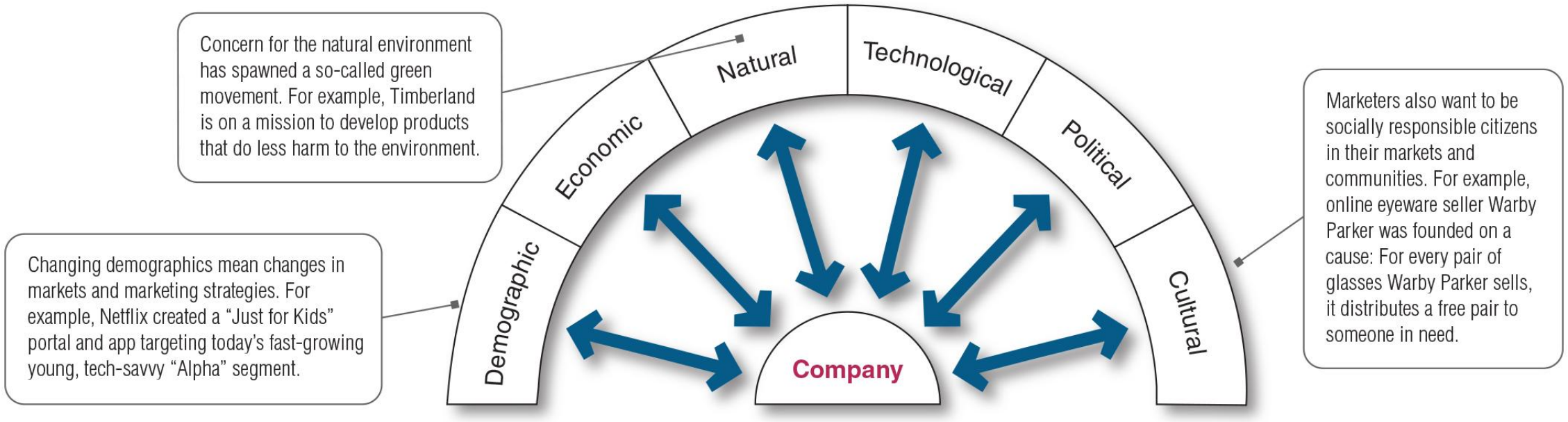
- Satisfy the same need
- May be from different product categories
- Depends upon
  - Buyer propensity to substitute
  - Relative price performance of substitute
  - Perceived level of product differentiation
  - Switching costs

Question: Could Water be a Substitute for Pepsi?

Macroenvironment: Major Forces in the Company's Environment



Macroenvironment



Demographic Environment

- Human population in terms of size, density, location, age, gender, race, occupation, and other statistics



Changing Age Structure

- Baby Boomers: Born between 1946 to 1964
- Wealthiest generation in the US history



Changing Age Structure

- Generation X: Born between 1965 and 1980
- Less materialistic than baby boomers
- More educated than baby boomers

Changing Age Structure

- Millennials: Born between 1981 and 1996
- First generation to grow with digital advances
- Tend to be frugal, practical, connected, mobile & impatient

Changing Age Structure

- Generation Z: People born between 1997 and 2012
- Most ethnically & culturally diverse generation
- If they’re awake, they’re online



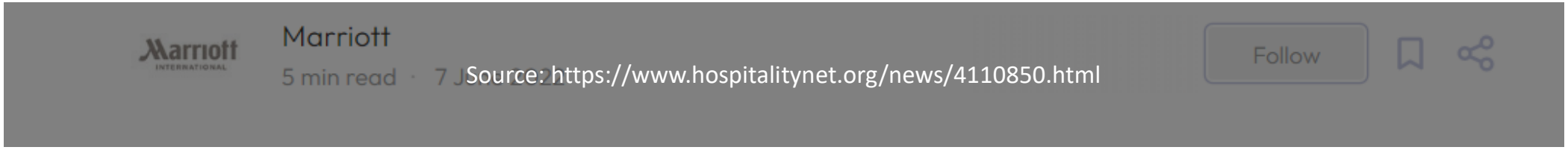
Changing Families, Geographic Shifts & Increasing Diversity



Press Release · Finance

Marriott International Launches "Marriott's Bridging The Gap" Hotel Development Program

$50 Million Program Aims to Increase Development and Ownership of Marriott Properties Among Historically Underrepresented Groups Including Black, Hispanic/Latino, Native American/First Nation and Women



Source: https://www.hospitalitynet.org/news/4110850.html

The Shade Range Game: Why It Is High Time for Inclusive Makeup





By Tanvi Dayal

Published October 27, 2022

Economic Environment

Economic factors thar affect consumer purchasing power & spending patterns

FORBES > BUSINESS > RETAIL

With Recession Threatening, The Lipstick Effect Kicks In And Lipstick Sales Rise

Pamela N. Danziger Senior Contributor ⓘ
I study the world's most powerful consumers -- The American Affluent

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Natural Environment

- Physical environment & natural resources
- Growing environmental concerns
- Shortage of raw materials
- Increased government intervention

Walmart Canada is reducing...

EMISSIONS

ONE Gigaton of CO^2
removed from global supply chain

WASTE

88%
of our waste is diverted from landfills

1.1 billion
plastic shopping bags will be taken out of circulation **by 2025**

PRODUCTS & PACKAGING

35,000,000
single-use straws
removed from stores

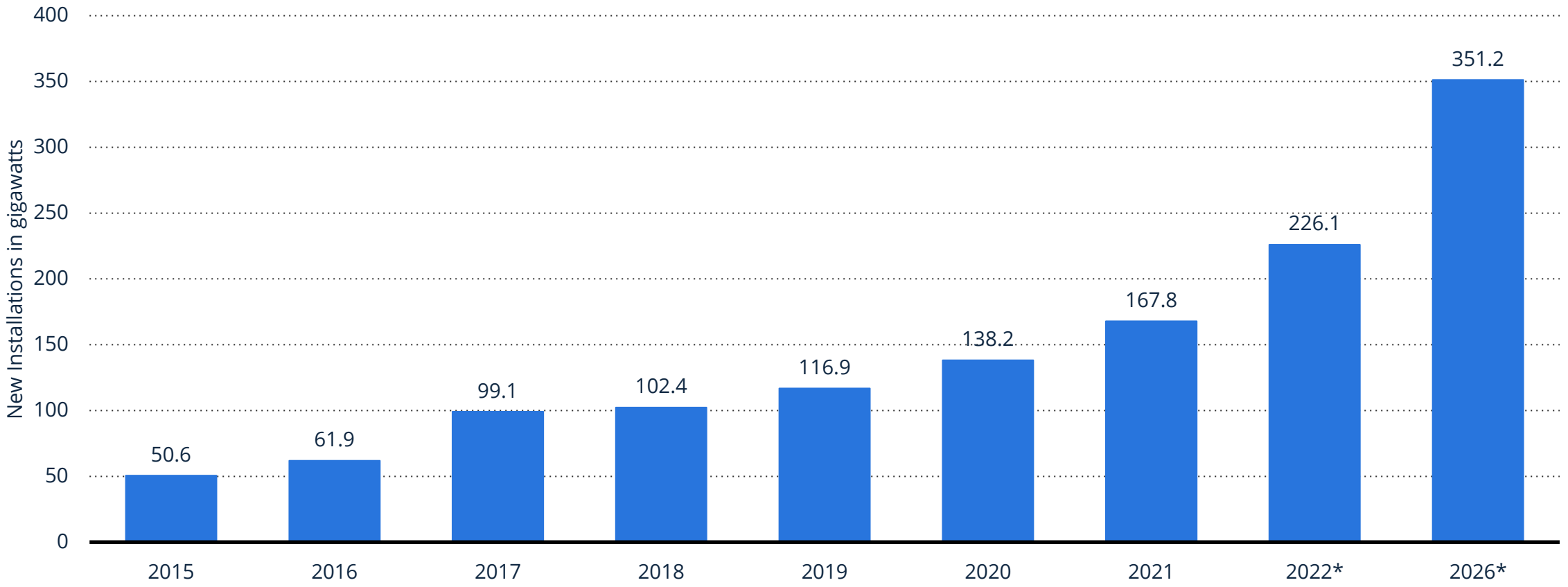
1,100,000
pounds of plastic
removed from our supply chain

DID YOU KNOW?

1. Since 2010, all new Walmart stores are 30% more efficient than previous builds
2. Our Walmart reusable bags are made with recycled water bottles
3. Walmart Canada flyers are made with paper from responsible sources
4. Walmart has purchased a fleet of Tesla trucks for all the distribution needs

Forecast new worldwide installations of solar PV capacity from 2015 to 2026 (in gigawatts)

New installations of solar PV capacity forecast 2015-2026



Description: New solar photovoltaic (PV) installations capacity presented a trend of growth over the years. In 2021, there were 167.8 gigawatts of solar PV capacity added globally, indicating an increase of over 100 gigawatts compared to 2015. Compared to 2021, by 2026, new solar PV installations capacity is expected to increase further some 180 gigawatts, reaching a total of 351.2 gigawatts. Read more
Note(s): Worldwide; 2015 to 2026; * The figures for 2022 and 2026 are projections and are derived Statista calculations, representing the mean value of EPIA's two scenarios (high and low). Read more
Source(s): SolarPower Europe

statista

Technological Environment

- New technologies have changes how consumers learn about products as well as purchase & experience products
- New product & market opportunities
- Also poses threats to the status quo

Political Environment

- Laws, government agencies & pressure groups exert influence and limit organizations & individuals
- Protect organizations from each other
  - E.g., Antitrust division of the Attorney General's office in the US
- Protect the interests of the society
  - E.g., Federal Trade Commission laws



Example: GDPR

- Applicable to any organization that collects data related to the EU residents

Seven protection and accountability principles

1. **Lawfulness, fairness and transparency**
2. **Purpose limitation**
3. **Data minimization**
4. **Accuracy**
5. **Storage limitation**
6. **Integrity and confidentiality**
7. **Accountability**



Cultural Environment

- Institutions & other forces that affect a society's basic values, perceptions, preferences & behaviours
- Core beliefs & values: passed on from parents to children & reinforced by schools, businesses, religious institutions, and government
  - More resistant to change
- Secondary beliefs: More open to change
  - People's views of themselves, others, organizations, society, nature, and the universe



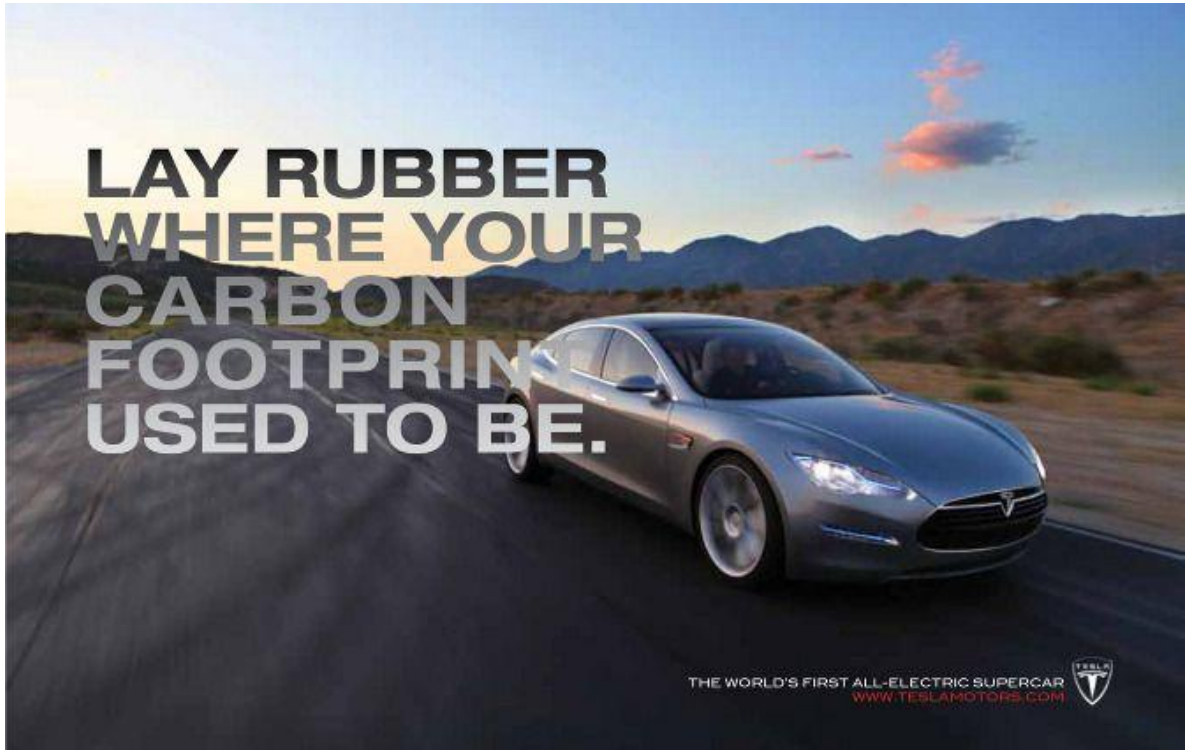
Why Do Cultural Beliefs Matter?

- People often use brands, products, services as a means of self-expression

- Purchases are also impacted by their:
  - Views of Others
  - Views of organizations
  - Views of society
  - Views of nature

E.g.: Macroenvironment & Electric Vehicles





Exercise: Apple Case Study

Products:

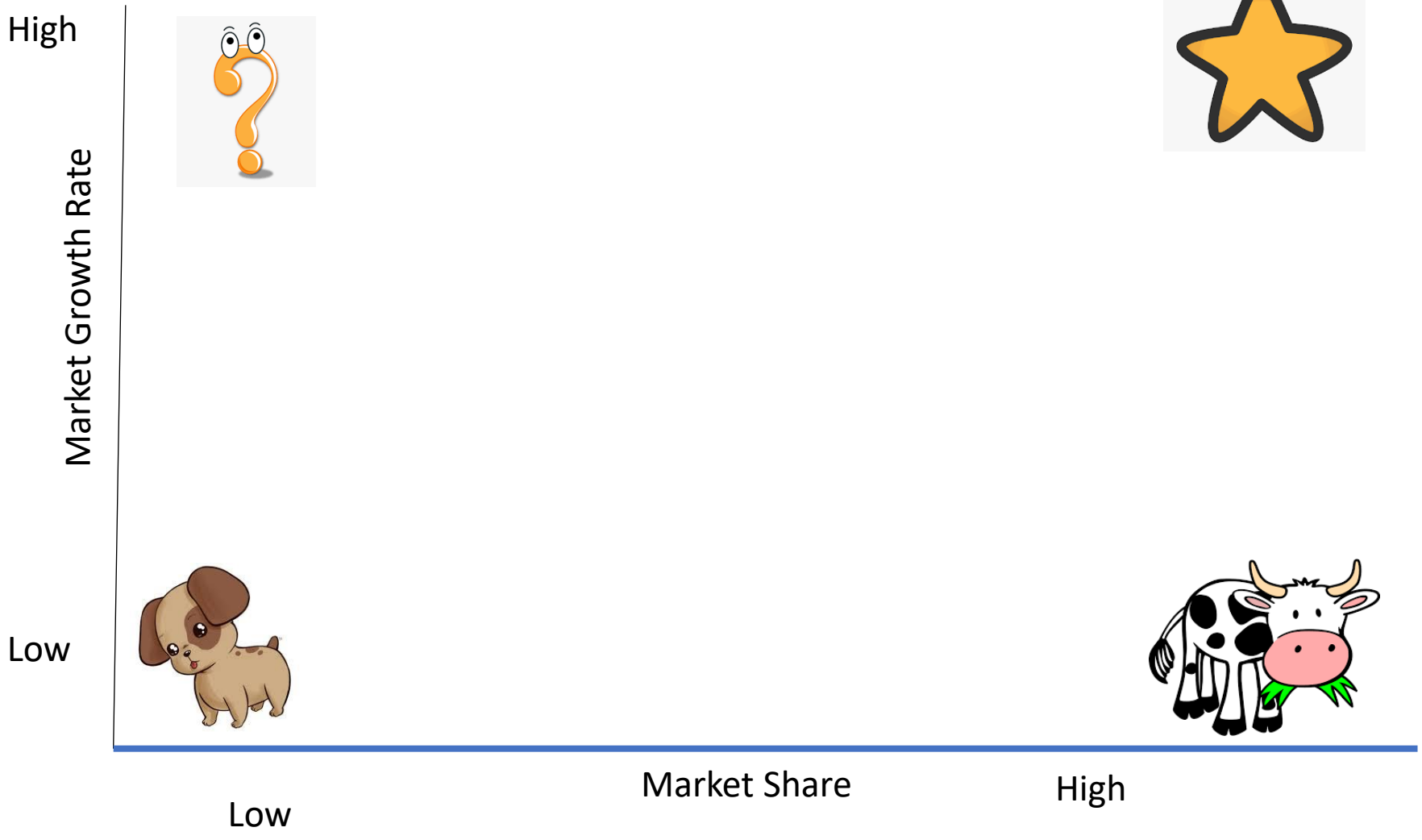
Ipad

Apple Music

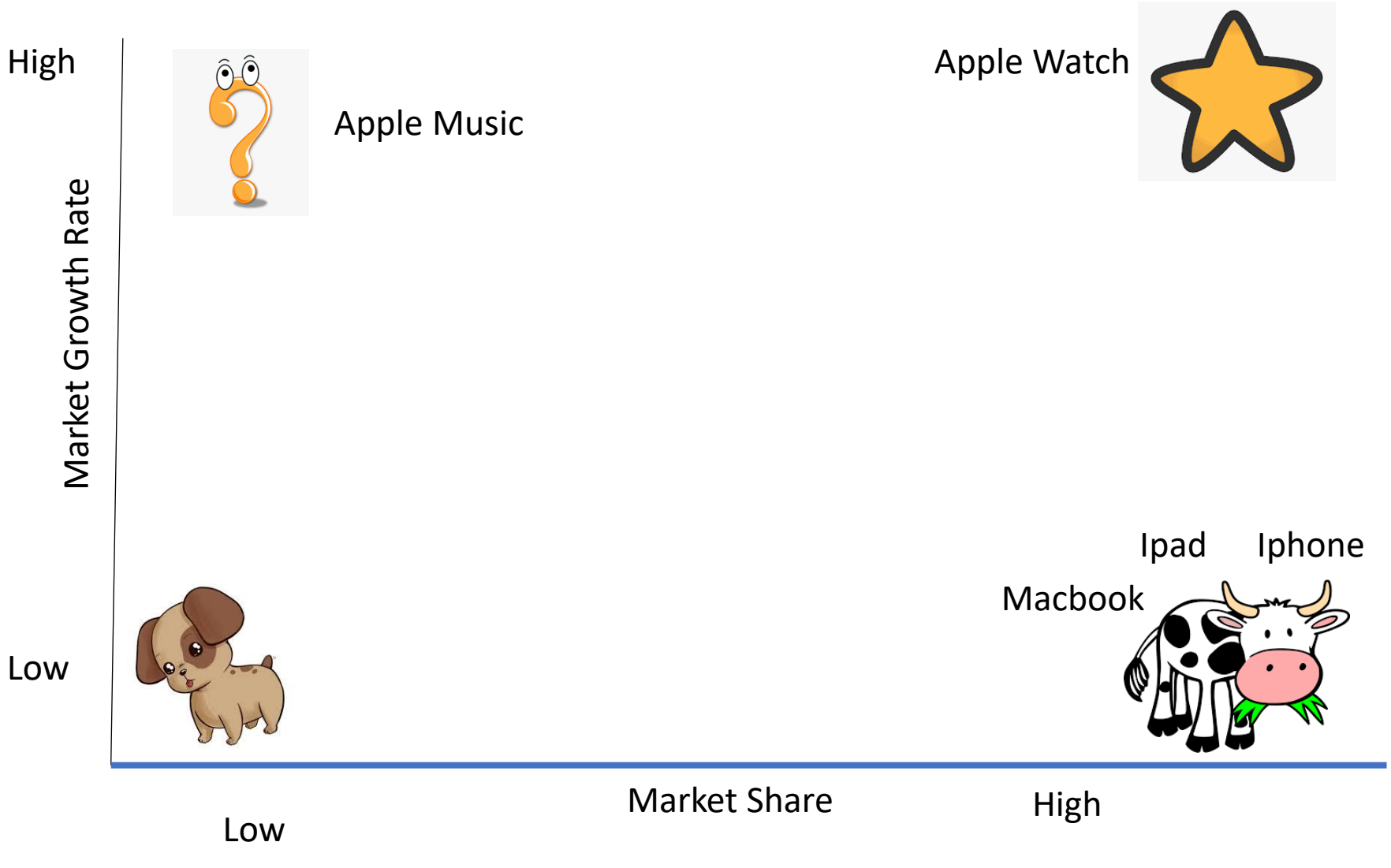
Apple Watch

Iphone

Macbook



Exercise: Apple Case Study





Thank You!